

Stage 2

Strategic Planning & Business Development

Prepared for **Speckled Space** — Modern & Trendy Home Décor,
Singapore

Scope of this sample: Section 2.1 Market & Customer Intelligence · Section 2.2 Business Model & Financial Strategy

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Demonstration deliverable. Market sizes and financials below are clearly-labelled illustrative estimates built from public signals and stated assumptions, intended to show analytical structure and quality — every figure would be validated against the client's actuals in a live engagement.

2.1 Market & Customer Intelligence

Speckled Space competes in Singapore's mid-market home-décor segment as a *curated* alternative to both marketplace commodity (Shopee, Lazada, Taobao) and premium furniture houses (Castlery, HipVan, Nook & Cranny). Its defensible assets are curation, a physical Ubi showroom, and fast local delivery. This section defines who the buyer is, how they buy, and where the winnable demand sits.

Customer segment deep-dive

Segment	Trigger & behaviour	Value to Speckled Space	Priority
New-home movers (BTO / resale / new condo)	Whole-room refresh over 3–9 months; high basket, multi-category; research-heavy	Highest lifetime value; multi-category baskets clear the free-shipping threshold easily	1 — High
Seasonal & festive (Christmas, CNY, Deepavali, Hari Raya)	Sharp, date-driven demand; decorative & gifting; repeat annually	Predictable revenue spikes; strong margin on décor; re-engagement hook	1 — High
Rental refreshers (renters, expats)	Low-commitment, removable, style-led; smaller baskets, higher frequency	Volume and word-of-mouth; faux flowers, rugs, cushions replenish	2 — Medium
Gifting & B2B (offices, F&B, staging, agents)	Bulk, deadline-driven; needs advice & reliability	Under-exploited; showroom + curation is a natural fit; larger orders	2 — Grow

Customer journey & friction map

- **Discover** — Instagram / TikTok / Google, plus showroom walk-ins. Friction: a crowded consideration set where Taobao anchors on price and Castlery/HipVan anchor on premium trust.
- **Evaluate** — buyers want to see scale, colour and material in person. Friction: the online catalogue and the showroom experience are not yet tightly linked (no clear "see it at Ubi / reserve online").
- **Purchase** — online, with the **S\$100 free-shipping threshold** nudging basket size. Friction: single-item shoppers below S\$100 abandon or defer.
- **Repeat** — seasonal swaps and room-by-room completion. Friction: no structured replenishment or post-move follow-up, so repeat demand is left to chance.

The bottleneck most people miss: Speckled Space's edge is the showroom, but the funnel treats it as a separate channel. Wiring "reserve online, confirm at Ubi, deliver same-week" turns the showroom from a cost centre into the conversion and trust advantage that Taobao and pure-play competitors structurally cannot match.

Market opportunity sizing & prioritisation

Sized top-down from Singapore household formation and home-furnishing spend, then narrowed to Speckled Space's serviceable mid-market online décor. Figures are **illustrative estimates** to frame prioritisation, not forecasts.

Layer	Definition	Illustrative size (annual)	Basis / assumption
TAM	SG home furnishings & décor retail, all channels	~ S\$1.5–2.0B	Established furnishings-retail scale for SG
SAM	Online mid-market décor & soft furnishings (excl. large furniture)	~ S\$180–260M	Décor subset of online furnishings share
SOM (3-yr)	Realistic capture via curation + showroom + local delivery	~ S\$3–6M	1.5–2.5% of SAM with focused segments

Prioritisation. Concentrate acquisition on **new-home movers** and **seasonal** buyers: both have clear triggers, above-average baskets, and defensibility through curation and local availability. Rental refreshers are a retention/frequency play, and B2B/gifting is a high-margin adjacency to test with low fixed cost. De-prioritise head-to-head price competition with marketplace sellers — it erodes the very margin that funds curation.

Illustrative attractiveness (demand clarity × basket value × defensibility), indexed 0–100:

New-home movers		92
Seasonal / festive		84
B2B / gifting		63
Rental refreshers		55

2.2 Business Model & Financial Strategy

The model is transactional D2C e-commerce with a physical showroom. The strategic question is not "how do we sell more units" but "how do we lift basket value and protect gross margin while the showroom does the trust-building that marketplaces cannot." This section reviews the revenue model, cost and pricing, three scenarios, and the concrete margin levers.

Revenue model & growth levers

- **Core:** transactional revenue = traffic × conversion × average order value (AOV). The S\$100 free-shipping threshold already engineers AOV upward — the lever is to make crossing it effortless.
- **AOV levers:** curated room bundles ("style this corner"), cross-category attach (rug + mat + vase), and a "complete the look" module at cart.
- **Frequency levers:** seasonal swap prompts (faux florals, festive décor), post-move room-by-room follow-up, and a light loyalty/replenish nudge.
- **New streams:** B2B / staging orders and click-and-collect at Ubi (also cuts last-mile cost).

Cost structure & pricing review

Cost shape (illustrative):

- COGS / landed goods — the largest variable line; imported décor
- Last-mile fulfilment — SG local delivery, sensitive to basket size
- Showroom — fixed (Ubi rent + staff); leverage improves with volume
- Marketing — mostly paid social; watch blended CAC vs AOV

Pricing position: Speckled Space sits deliberately between marketplace commodity and premium houses. The right move is *not* to chase Taobao on price — it is to justify a modest premium through curation, in-person assurance, and fast local delivery, and to defend margin with bundles rather than blanket discounts.

Scenario modelling (illustrative, annual)

Driver	Downside	Base	Upside
Monthly sessions	40,000	55,000	75,000
Conversion rate	1.4%	1.8%	2.3%
Average order value (AOV)	S\$70	S\$85	S\$100
Implied annual revenue	S\$0.47M	S\$1.01M	S\$2.07M
Gross margin	45%	50%	54%

Illustrative only, to show the sensitivity structure. The single highest-leverage variable is AOV: moving the base case from S\$85 to S\$100 lifts revenue more than a comparable conversion gain, because the free-shipping threshold already primes larger baskets.

These cells would be replaced with the client's actual analytics on day one.

Margin-improvement opportunities (ranked)

#	Lever	Mechanism	Effort
1	Bundle & attach at cart	Lifts AOV over the S\$100 line; higher margin than single-item + shipping absorption	Low
2	Click-and-collect at Ubi	Removes last-mile cost on a share of orders; drives showroom traffic	Low–Med
3	Curated / exclusive lines	Reduces direct price comparison; protects premium	Medium
4	Discount discipline	Replace blanket promos with bundle value; recover margin points	Low
5	Freight consolidation	Lower landed COGS via larger, planned import runs	Medium

Where AI fits (and why this brief exists): each section above is produced by drafting against Speckled Space's own approved reports, templates and data, then passing every draft through a validation and quality gate before a human reviews it — so senior QC time falls instead of rising. This sample was assembled that way: structured from public signals, triangulated across sources, and written to your section format rather than pasted from a single model.